FUNDAMENTALS OF ACCOUNTING

Complete Midterm Exam Syllabus & Master Study Guide (Chapters 1 & 2)

Course: Fundamentals of Accounting	**Instructor:** Dr. Nadia Iftikhar
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Midterm Scope: Chapters 1 & 2 ONLY	**Exam Date:** Nov 3, 2026 (02:00 PM - 03:30 PM)

EXAM DAY RULES & CLASSROOM POLICIES

OFFICIAL CLASS POLICY & EXAM RULES (Dr. Nadia Iftikhar):

- **Strict 10-Minute Lock Rule:** Class and exam doors are locked 10 minutes after start time. Late arrivals are strictly barred.
- **Absences & Missed Work:** Maximum allowed absences = 8. No make-up quizzes or late homework submissions accepted under any circumstances.
- **Mandatory Exam Requirements:** Students must present their official **Exam Entry Slip** and have full **fee clearance** to sit for the midterm in LR-006 / LR-007.

1.1 Definition & Three Primary Accounting Activities

Accounting is an information system that **identifies, records, and communicates** the economic events of an organization to interested users.
1. Identification: Selecting the economic events (transactions) relevant to a particular business.
2. Recording: Keeping a systematic, chronological diary of events in monetary terms (dollars or rupees).
3. Communication: Preparing financial reports (financial statements) and analyzing/interpreting them for decision-makers.

1.2 Accounting Users & Standard-Setting Bodies

• **Internal Users:** Managers, production supervisors, finance directors, and company officers who plan, organize, and run the business.
• **External Users:** Investors (owners deciding whether to buy/hold/sell stock), Creditors (suppliers/banks evaluating loan risks), Tax Authorities (FBR/IRS), and Regulatory Agencies.
• **GAAP (Generally Accepted Accounting Principles):** Universally accepted standards indicating how to report economic events.
• **FASB (Financial Accounting Standards Board):** Primary standard-setting body in the US.
• **SEC (Securities and Exchange Commission):** US government agency overseeing financial markets.
• **IASB (International Accounting Standards Board) & IFRS:** Over 100 countries use International Financial Reporting Standards.

1.3 Measurement Principles & Assumptions (Key Exam Concepts)

1. Historical Cost Principle (Cost Principle): Dictates that companies record assets at their **original purchase cost** and continue to report them at cost throughout the asset's life. *Exam Trap:* If land purchased for $200M increases in fair value to $600M, under GAAP it **must remain reported at $200M**.
2. Fair Value Principle: Dictates that assets and liabilities should be reported at fair value (current market price). Applied extensively only to actively traded financial assets like stock/bond investments.
3. Monetary Unit Assumption: Requires that only transaction data capable of being expressed in terms of money be included in accounting records. Qualitative factors (e.g., employee morale, CEO health) are excluded.
4. Economic Entity Assumption: Requires that activities of the entity be kept **strictly separate and distinct** from the personal activities of its owner and all other economic entities.
• *Proprietorship:* Owned by 1 person; simple to set up; owner has unlimited liability.
• *Partnership:* Owned by 2+ persons; shared control and unlimited liability.
• *Corporation:* Separate legal entity owned by stockholders; limited liability; continuous life.

1.4 The Basic & Expanded Accounting Equation

THE FOUNDATIONAL EQUATION OF ACCOUNTING

BASIC ACCOUNTING EQUATION:

Assets = Liabilities + Owner's Equity

EXPANDED ACCOUNTING EQUATION:

Assets = Liabilities + Owner's Capital - Owner's Drawings + Revenues - Expenses

Component	Definition	Effect on Equity	Examples
Assets	Resources owned by a business that provide future economic benefits	N/A (Left side of equation)	Cash, Accounts Receivable, Supplies, Equipment, Land, Buildings
Liabilities	Claims against assets representing existing debts and obligations	N/A (Creditor Claims)	Accounts Payable, Notes Payable, Salaries Payable, Unearned Revenue
Owner's Capital	Assets put into the business by the owner (Investments)	**INCREASES Equity** (+)	Owner's initial cash or asset investments
Owner's Drawings	Assets withdrawn by the owner for personal, non-business use	**DECREASES Equity** (-)	Owner cash withdrawals, personal expense payments
Revenues	Gross increases in equity resulting from business activities earned	**INCREASES Equity** (+)	Service Revenue, Sales Revenue, Rent Revenue, Interest Revenue
Expenses	Cost of assets consumed or services used in earning revenues	**DECREASES Equity** (-)	Salaries Expense, Rent Expense, Utilities Expense, Advertising Expense

1.5 Tabular Transaction Analysis (Softbyte / Class Model)

Every transaction has a **dual effect** on the accounting equation. The equation must balance after every single entry.

Trans.	Cash	A/R	Supplies	Equip.	=	A/P	Capital	Drawings	Revenues	Expenses	Explanation / Notes	
1	+15,000				=		+15,000				Owner Investment	
2	-7,000			+7,000	=						Purchased Equipment for Cash	
3			+1,600		=	+1,600					Purchased Supplies on Credit	
4	+1,200				=				+1,200		Received Cash for Services	

Trans.	Cash	A/R	Supplies	Equip.	=	A/P	Capital	Drawings	Revenues	Expenses	Explanation / Notes	
5					=	+250				-250	Purchased Advert. on Account	
6	+1,500	+2,000			=				+3,500		Billed & Cash Services	
7	-1,700				=					-1,700	Paid Rent, Sal, Util Expenses	
8	-250				=	-250					Paid Accounts Payable	
9	+600	-600			=						Collected Accounts Receivable	
10	-1,300				=				-1,300			Owner Cash Withdrawal
TOTAL	**$8,050**	**$1,400**	**$1,600**	**$7,000**	**=**	**$1,600**	**$15,000**	**-$1,300**	**+$4,700**	**-$1,950**	**Assets ($18,050) = L+E ($18,050)**	

1.6 Financial Statements Sequence & Interrelationships

Companies prepare 4 financial statements in **exact sequential order** because numbers flow from one statement to the next:

Order	Statement	Heading Format	Formula / Key Content	Link to Next Statement
1	**Income Statement**	Company Name Income Statement *For the Month Ended...*	**Revenues - Expenses = Net Income (or Net Loss)** Note: Investments & Drawings are EXCLUDED.	Net Income flows directly into the **Owner's Equity Statement**.
2	**Owner's Equity Statement**	Company Name Owner's Equity Statement *For the Month Ended...*	**Beginning Capital + Investments + Net Income - Drawings = Ending Capital**	Ending Owner's Capital flows directly into the **Balance Sheet**.
3	**Balance Sheet**	Company Name Balance Sheet *Specific Date (e.g., Sept 30, 2026)*	**Assets = Liabilities + Ending Owner's Equity** Snapshot of financial position at a single point in time.	Ending Cash balance agrees with the **Statement of Cash Flows**.
4	**Statement of Cash Flows**	Company Name Statement of Cash Flows *For the Month Ended...*	Summarizes cash receipts and payments across Operating, Investing, and Financing activities.	Validates ending Cash balance reported on Balance Sheet.

SECTION 2: CHAPTER 2 — THE RECORDING PROCESS

2.1 The Account & Debit/Credit Mechanics

An **account** is an individual accounting record of increases and decreases in a specific asset, liability, owner's equity, revenue, or expense item.

• **Debit (Dr.):** Indicates the **LEFT** side of an account.
• **Credit (Cr.):** Indicates the **RIGHT** side of an account.
• **Double-Entry System:** Each transaction must affect two or more accounts, and **Total Debits must EQUAL Total Credits**.

2.2 Summary of Debit/Credit Rules & Normal Balances

Account Classification	Basic Accounting Category	Increase Side	Decrease Side	Normal Balance
Assets	Balance Sheet	Debit (Dr.) ↑	Credit (Cr.) ↓	**DEBIT**
Liabilities	Balance Sheet	Credit (Cr.) ↑	Debit (Dr.) ↓	**CREDIT**
Owner's Capital	Balance Sheet / OE Statement	Credit (Cr.) ↑	Debit (Dr.) ↓	**CREDIT**
Owner's Drawings	OE Statement	Debit (Dr.) ↑	Credit (Cr.) ↓	**DEBIT**
Service / Sales Revenues	Income Statement	Credit (Cr.) ↑	Debit (Dr.) ↓	**CREDIT**
Operating Expenses	Income Statement	Debit (Dr.) ↑	Credit (Cr.) ↓	**DEBIT**

> **EXAM SPEED RULE: NORMAL BALANCES**
>
> **MEMORIZATION TRICK FOR NORMAL BALANCES:**
> **DEALER:**
> • **D - E - A** (Drawings, Expenses, Assets) $\rightarrow$ Normal Balance is **DEBIT** (Increases with Debit).
> • **L - E - R** (Liabilities, Equity/Capital, Revenues) $\rightarrow$ Normal Balance is **CREDIT** (Increases with Credit).

2.3 Steps in the Recording Process

Step 1: Analyze Business Documents: Examine source documents (sales slips, checks, bills, invoices) to determine affected accounts.
Step 2: Journalize Transactions: Enter transactions chronologically into the **General Journal** (book of original entry).
Step 3: Post to Ledger: Transfer journal entries to individual accounts in the **General Ledger** (book of accounts).

2.4 General Journal Format & Compound Entries

• **Simple Journal Entry:** Involves only two accounts (one debit, one credit).
• **Compound Journal Entry:** Involves three or more accounts (e.g., purchasing $14,000 equipment by paying $8,000 cash and signing a $6,000 note).

Date	Account Titles and Explanation	Ref.	Debit (Dr.)	Credit (Cr.)
2026 Sept. 1	Cash Owner's Capital *(Owner's investment of cash in business)*	101 301	15,000	 15,000

Date	Account Titles and Explanation	Ref.	Debit (Dr.)	Credit (Cr.)

Sept. 2	Equipment
	  Cash
	  Accounts Payable
	(Purchased equipment with cash & note)
		157
		101
		201
			14,000	
				8,000
				6,000

2.5 General Ledger & 3-Column Standard Account Form

The **General Ledger** contains all asset, liability, owner's equity, revenue, and expense accounts. The 3-column account format maintains a running balance after every entry.

Date	Explanation	Ref.	Debit	Credit	Balance
2026 Sept. 1	Initial Investment	J1	15,000		15,000 Dr.
Sept. 2	Equipment Purchase	J1		8,000	7,000 Dr.
Sept. 4	Service Revenue Received	J1	1,200		8,200 Dr.

2.6 The Trial Balance & Limitations

A **Trial Balance** is a list of ledger accounts and their balances at a given date. It is an internal report used to prove the mathematical equality of debits and credits.

Order of Accounts in Trial Balance:

1. Assets $\rightarrow$ 2. Liabilities $\rightarrow$ 3. Owner's Capital $\rightarrow$ 4. Owner's Drawings $\rightarrow$ 5. Revenues $\rightarrow$ 6. Expenses.

WHAT A TRIAL BALANCE DOES NOT PROVE

LIMITATIONS OF A TRIAL BALANCE (CRITICAL EXAM TRAP!):

A trial balance **MAY STILL BALANCE EVEN IF:**

1. A transaction is completely omitted from journalizing.
2. A correct journal entry is not posted to the ledger.
3. A journal entry is posted twice.
4. Incorrect accounts are debited or credited in journalizing/posting.
5. Offsetting errors are made in recording the amount of a transaction.

SECTION 3: SOLVED CLASS QUIZZES & PRACTICE EXERCISES

3.1 Solved Class Quiz 1 (Dr. Nadia Iftikhar)

Problem 1 (Financial Statement Construction):

Data provided for *Armanda Co.* for the month ended April 30, 2026:

Service Revenue: $63,600 | Advertising Expense: $1,800 | Rent Expense: $10,400 | Utilities Expense: $3,100 | Salaries & Wages Expense: $29,500 | Owner's Drawings: $6,000 | Beginning Capital (April 1): $48,000.

ARMANDA CO. — Income Statement	For Month Ended April 30, 2026	Amount ($)
Revenues:	Service Revenue	63,600
Expenses:	Salaries and Wages Expense	29,500
	Rent Expense	10,400
	Utilities Expense	3,100
	Advertising Expense	1,800
Total Expenses:		(44,800)
NET INCOME		**$18,800**

ARMANDA CO. — Owner's Equity Statement	For Month Ended April 30, 2026	Amount ($)
Owner's Capital, April 1		48,000
Add: Net Income		18,800
Subtotal		66,800
Less: Owner's Drawings		(6,000)
Owner's Capital, April 30		**$60,800**

Class Quiz 1 Numerical & Conceptual Solutions:

• **Dual Effect Equation Problem:** Total liabilities decreased by $40,000 and owner's equity increased by $30,000. What is the net change in total assets?
Solution: $\Delta \text{Assets} = \Delta \text{Liabilities} + \Delta \text{Equity} = -40,000 + 30,000 = \mathbf{-\$10,000}$ (**$10,000 Decrease**).
• **Historical Cost MCQ:** Land purchased for $200M now valued at $600M $\rightarrow$ Reported at **$200 million**.
• **Drawings Formula Problem:** Beginning Capital $68,000, Investment $10,000, Net Loss $4,000, Ending Capital $70,000. Calculate Drawings.
Solution: $\text{Ending} = \text{Beginning} + \text{Invest} - \text{Loss} - \text{Drawings} \implies 70,000 = 68,000 + 10,000 - 4,000 - \text{Drawings} \implies \mathbf{\text{Drawings} = \$4,000}$.

3.2 Solved Class Quiz 2 (Dr. Nadia Iftikhar)

Problem 1: Iris Beck, CPA Trial Balance Total Credit Calculation:
Given accounts: Cash $8,700, Accounts Receivable $7,000, Supplies $2,500, Accounts Payable $5,800, Unearned Service Revenue $3,500, Owner's Capital $35,000, Service Revenue $41,200, Salaries Expense $2,000, Rent Expense $900.
Credit Accounts: Accounts Payable ($5,800) + Unearned Revenue ($3,500) + Capital ($35,000) + Service Revenue ($41,200) = **Total Credits $85,500**.

Problem 2: Supplies T-Account Balance Calculation:
Beginning Supplies = $780. Purchased Supplies on credit = $900. Supplies on hand at month end = $530.
Supplies Expense Used: $780 + $900 - $530 = **$1,150 Expense**. Ending Balance in Supplies = **$530 Debit Balance**.

Problem 3: Cash Account T-Balance Calculation:
Beginning Cash = $11,000. Receipts from customers = $3,000. Payments for expenses & payables = $9,000.
Ending Cash Balance: $11,000 + $3,000 - $9,000 = **$5,000 Debit Balance**.

3.3 Solved Comprehensive Problem (Chapter 2 Journalizing & Trial Balance)

Transactions for *Depot Service Co.* for May 2026:
May 1: Owner invested $10,000 cash.
May 3: Paid $800 cash for office rent.
May 5: Purchased equipment on account for $3,200.
May 9: Performed services on account for $2,500.
May 12: Received $1,200 cash for services performed.
May 20: Paid $1,000 cash on accounts payable.
May 31: Owner withdrew $500 cash for personal use.

Date	Account Titles & Explanation	Debit ($)	Credit ($)
May 1	Cash Owner's Capital (Owner investment)	10,000	10,000
May 3	Rent Expense Cash (Paid May rent)	800	800
May 5	Equipment Accounts Payable (Purchased equipment on credit)	3,200	3,200
May 9	Accounts Receivable Service Revenue (Billed clients for services)	2,500	2,500
May 12	Cash Service Revenue (Received cash for services)	1,200	1,200
May 20	Accounts Payable Cash (Paid creditor on account)	1,000	1,000
May 31	Owner's Drawings Cash (Owner withdrawal)	500	500

DEPOT SERVICE CO. — Trial Balance	Debit ($)	Credit ($)
Cash ($10,000 + $1,200 - $800 - $1,000 - $500)	8,900	
Accounts Receivable	2,500	
Equipment	3,200	
Accounts Payable ($3,200 - $1,000)		2,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue ($2,500 + $1,200)		3,700
Rent Expense	800	
TOTALS	**$15,900**	**$15,900**

SECTION 4: HIGH-YIELD EXAM FORMULA & CONCEPT CHEATSHEET

Concept / Formula	Mathematical Expression / Definition	Key Exam Application
Basic Accounting Equation	**Assets = Liabilities + Owner's Equity**	Proving balance on Balance Sheet & Tabular Analysis.
Expanded Accounting Equation	**Assets = Liabilities + Capital - Drawings + Revenues - Expenses**	Evaluating transaction dual effects on individual categories.
Net Income Formula	**Net Income = Revenues - Expenses** (if Revenues > Expenses)	Income Statement calculation (Excludes Capital & Drawings!).
Net Loss Formula	**Net Loss = Expenses - Revenues** (if Expenses > Revenues)	Reduces Owner's Equity on Owner's Equity Statement.
Ending Capital Formula	**Ending Capital = Beginning Capital + Investments + Net Income - Drawings**	Owner's Equity Statement & Balance Sheet capital balance.
T-Account Net Balance	**Ending Balance = Higher Side Total - Lower Side Total**	Calculating ending debit/credit balances for Trial Balance.
Normal Debit Accounts	**Assets, Owner's Drawings, Expenses** (D-A-E)	Increased by Debit; Decreased by Credit.
Normal Credit Accounts	**Liabilities, Owner's Capital, Revenues** (C-L-R)	Increased by Credit; Decreased by Debit.
Unearned Service Revenue	**Liability Account** (Credit Normal Balance)	Collected cash in advance before service is performed.
Accounts Receivable	**Asset Account** (Debit Normal Balance)	Billed customer for services performed on credit.